We propose to require a simplified fee summary in the summary section of the prospectus that is designed to improve investor understanding of fees and expenses. The proposed summary fee table would change the current fee table heading "Shareholder Fees" to "Transaction Fees," which we believe is a more plain-English term to describe fees paid each time an investor buys or sells shares of the fund. The line items under the heading "Transaction Fees" would generally encompass the same types of fees that currently appear as line items under the "Shareholder Fees" heading. However, we propose to re-title the line items with more plain-English descriptions, to increase investor comprehension. The proposed line items under the heading "Transaction Fees" that are parallel to line items currently appearing under the heading "Shareholder Fees" include:

- Any "Purchase Charge" to purchase shares, and any "Exit Charge" to sell shares;[562]
- The "Maximum Purchase Charge Imposed on Reinvested Dividends [and Other Distributions]";[563]
- Any "Early Exit Fee," which would show the redemption fee charged for exiting the fund early (and is distinguished from sales charges, which are covered under the "Exit Charge" line item);[564]
- Any "Exchange Fee," which is a charge that may be imposed on an investor who

---

562 These line items are currently titled "Maximum Sales Charge (Load) Imposed on Purchases" and "Maximum Deferred Sales Charge (Load)," respectively. *See* Item 3 of Form N-1A; *see also supra* Table 5.

563 This line item is currently titled "Maximum Sales Charge (Load) Imposed on Reinvested Dividends [and Other Distributions]." *See* Item 3 of Form N-1A; *see also supra* Table 5.

564 This line item is currently titled "Redemption Fee." *See* Item 3 of Form N-1A; *see also supra* Table 5.

wishes to move assets from one fund in a fund group to another.[565]

The one line item that currently appears under the heading "Shareholder Fees" that would not appear under the proposed "Transaction Fees" heading is the "Maximum Account Fee." This fee is not a transaction fee, so we are proposing to include it as its own separate heading in the summary fee table.[566]

The fee summary is designed to be a focused presentation of transaction costs and, consequently, we are proposing to instruct funds that any transaction fee equaling $0 should not be included in the summary fee table (and the applicable line item that would appear in Form N-1A should be omitted from the summary fee table).[567] We understand that certain of these fees are not common in practice (*e.g.*, account fees, and increasingly, exit charges). Therefore, even though there are a number of line items that would appear under "Transaction Fees" in Form N-1A, we do not expect that most funds would have to include all of these line items in their fee disclosure. As a result, we do not anticipate that the proposed amendments to the form would detract from the focused nature of the fee summary. While we are proposing to consolidate the line items that currently appear under "Annual Fund Operating Expenses," as we discuss in more detail below, we are not similarly proposing to consolidate the corresponding line items that would appear under "Transaction Fees." The imposition of transaction fees depends on whether an investor buys or sells shares of a fund, and will therefore be different for each investor. Accordingly, consolidation of transaction fees would

---

565 This line item title is the same as the line item title that currently appears in Form N-1A under the heading "Shareholder Fees." *See* Item 3 of Form N-1A; *see also supra* Table 5.

566 Proposed Instruction 3 to Item 3 of Form N-1A; *see also supra* Table 5.

567 Proposed Instruction 2 to Item 3 of Form N-1A. However, a multiclass fund that shows a charge and line item because one class imposes a charge may show 0 as the charge for other classes. *Id.*

be confusing to an investor who would be unable to determine whether and when he or she would bear those fees.

For each of the line items under the "Transaction Fees" heading, and the "Maximum Account Fee," a fund would have to indicate the maximum amount that the fee could be (and state that the fee is "up to" the stated amount), if the fund offers sales charge discounts.[568] This presentation would indicate to the reader that the actual sales charge may in fact be lower than the maximum fee disclosed in the fee summary.

The proposed fee summary would change the current fee table heading "Annual Fund Operating Expenses" to "Ongoing Annual Fees." This new heading is designed to convey, in plain English, that there are charges that an investor will have to pay each year. The "Ongoing Annual Fees" entry in the proposed summary fee table would consist of one line item showing the total amount that the investor would pay annually. Rather than an itemized list of Ongoing Annual Fees, this proposed fee presentation would show a total, "bottom line" figure that investors can expect to pay. This is a figure that investors could compare across funds in evaluating the ongoing annual fees associated with each fund.

The proposed summary fee table would, like the current prospectus fee presentation, address expense reimbursements and fee waiver arrangements. If the fund's full fee table in the statutory prospectus were to show an expense reimbursement or fee waiver arrangement (a "discount"), our proposal would permit an additional line item in the proposed summary fee table: "Ongoing Annual Fees with Temporary Discount."[569] This line item would reflect the

---

[568] Proposed Instruction 2 to Item 3 of Form N-1A.

[569] Proposed Instruction 4(b) to Item 3 of Form N-1A.

amount of ongoing annual fees after any discount, which would more precisely reflect the fees that the investor will pay while the discount is in place.[570] This line item would appear after the "Ongoing Annual Fees" line item that does not reflect the discount, because we believe that the "gross" figure should be the most prominent, given that expense reimbursement and fee waivers are generally only temporary. Further, we are proposing that this optional Ongoing Annual Fees line item be accompanied by a footnote stating the expected termination date of the discount.[571]

We propose to require that each line item in the summary fee table show the cost investors could pay in dollars assuming a $10,000 investment, as well as the same charge shown as a percentage of assets.[572] Research suggests that investors may better appreciate the impact of costs when expressed as a dollar amount rather than a percentage of assets.[573] While

---

570 *See* current Instruction 3(e) to Item 3 of Form N-1A. Based on XBRL data filed on the EDGAR system as of June 1, 2019, of the more than 32,000 fund classes, approximately 53% described a fee waiver in the prospectus fee table.

The proposed line item would be permitted, not required, just as the current provision on expense reimbursements or fee waivers is also permissive. *Id*. We believe that, as a practical matter, a fund would likely choose to disclose the ongoing annual fees with the expense reimbursements or fee waivers because that would be a lower amount than ongoing annual fees without those reductions.

571 Instruction 4(b) to Item 3 of proposed Form N-1A; *see also supra* Table 5.

572 Proposed Instruction 2, proposed Instruction 3, and proposed Instruction 4(c) to Item 3 of Form N-1A.

573 *Cf.* Numerical Information Format and Investment Decisions: Implications for the Disposition Effect and the Status Quo Bias, Rubaltelli et al., The Journal of Behavioral Finance, 2005, Vol. 6, No. 1, 19–26); *see also* Government Accountability Office, Statement of Richard J. Hillman, Director, Financial Markets and Community Investment before the U.S. Senate Committee on Governmental Affairs Subcommittee on Financial Management, the Budget and International Security, "Mutual Funds: Additional Disclosures Could Increase Transparency of Fees and Other Practices," (Jan. 27, 2004), *available* at http://www.gao.gov/assets/120/110547.pdf; Justine S. Hastings & Lydia Tejeda-Ashton, Financial Literacy, Information, and Demand Elasticity: Survey and Experimental Evidence

this proposed addition would add some marginal length to the fee summary, we do not believe the length is inappropriate when balanced against the need to communicate the impact of costs to investors effectively. Also, we believe that the proposed tabular presentation of the fee summary is an efficient way to present fee information, including the new dollar-based presentation, in a manner that investors can easily read and understand.[574]

Under the proposal, the "Ongoing Annual Fee" amount generally would be the same figure that funds currently report as "Total Annual Fund Operating Expenses" (*i.e.*, the fund's expense ratio).[575] In addition to direct and fixed fees, such as management fees, this expense ratio figure currently includes certain performance expenses that are not operating costs reflected in a fund's statement of operations but rather are indirect expenses paid by the fund to generate performance and excludes other such expenses. Performance expenses currently reflected in a fund's expense ratio include AFFE, interest expense, and dividends paid on short sales (although AFFE is not included in the fund's statement of operations).[576] However, the expense ratio does not currently reflect all or even most of the material performance expenses that similarly affect the fund's performance. These include costs associated with the

---

from Mexico, NBER Working Paper 14538 (Dec. 2008), *available at* https://www.nber.org/papers/w14538 (finding that providing fee disclosures to Mexican investors in peso rather than percentage terms caused financially inexperienced investors to focus on fees).

574 *See* Variable Contract Summary Prospectus Adopting Release, *supra* footnote 27 (requiring a tabular presentation of fees in variable contract summary prospectuses).

575 The "Ongoing Annual Fee" amount may differ from the currently reported "Total Annual Fund Operating Expenses" figure to the extent that a fund discloses AFFE in a footnote instead of reflecting that amount in the "Ongoing Annual Fee" figure under the proposed amendments. *See infra* Section II.H.1.g.

576 *See infra* Section II.H.1.g (proposing certain amendments to the scope of AFFE disclosure).

fund's securities lending activities and transaction costs. For example, funds that lend securities generate income from securities lending that is included in the fund's performance. To generate that income, the fund incurs certain expenses, such as fees to the securities lending agent. Further, it is our understanding that the income generated is used to offset the fund's operating costs.[577] Transaction costs are the costs a fund incurs when it buys or sells portfolio investments. These costs include commissions, spread costs, market impact costs, and opportunity costs.[578]

Although a fund's fee table does not reflect securities lending costs and fund transaction costs, a fund's prospectus and SAI include, in locations other than the fee table, other information about these costs. For example, a fund's total return in the prospectus performance presentation reflects these costs.[579] However, an investor reviewing a fund's total

---

577 Funds typically engage a securities lending agent to administer their securities lending programs and compensate these agents with a share of the revenue generated by the lending program. Some funds use securities lending agents that are affiliated with the fund's investment adviser and so this additional revenue may be used to defray some of the fund's direct costs, such as advisory fees. The portion of securities lending revenue paid to the securities lending agent is not reflected in the fund's fee table. Thus, using this revenue to reduce other costs of investing in the fund (where that reduction is reflected in the fee table) may make the fund appear to be less expensive.

578 Commissions generally refer to charges that a broker collects to act as agent for a customer when executing and clearing trades. Spread costs are incurred indirectly when a fund buys a security from a dealer at the "asked" price (which is above current value) or sells a security to a dealer at the "bid" price (which is below current value). Market impact costs are incurred when the price of a security changes as a result of the effort to purchase or sell the security. Opportunity cost is the cost of missed trades. For more information about these categories of costs, *see* Concept Release: Request for Comments on Measures to Improve Disclosure of Mutual Fund Transaction Costs, Investment Company Act Release No. 26313 (Dec. 18, 2003) [68 FR 74820 (Dec. 24, 2003)] ("Transaction Costs Concept Release"), at Section II.

579 Transaction costs are included in a fund's total return because, under generally accepted accounting principles, they are either included as part of the cost basis of securities purchased or subtracted from the net proceeds of securities sold and ultimately are reflected as changes in the realized and unrealized gain or loss on portfolio securities in the fund's financial

return cannot identify whether the fund's securities lending or trading activity had a positive or negative effect on the fund's returns, or the overall costs associated with these activities. In fact, an investor would likewise not be able to ascertain the effect of the performance expenses currently included on the fund's return. However, beyond inclusion in the total return, funds also provide certain information about securities lending income, expenses, and services in their SAIs.[580] Funds also report information about their securities lending activities on Form N-CEN.[581] On transaction costs, prospectuses provide a fund's portfolio turnover rate, and SAIs include the amount of brokerage commissions the fund paid.[582] This information can help investors understand how fund transaction costs may vary among different funds.[583]

---

statements.

580 *See* Item 19(i)(1) of Form N-1A. Among other things, this includes the dollar amount of fees or compensation paid by the fund for securities lending activities and related services, including fees paid to the securities lending agent from a revenue split, other fees that are not included in the revenue split (such as fees paid for cash collateral management services, administrative fees, and indemnification fees), and rebates paid to the borrower.

581 *See* Item C.6 of Form N-CEN (requiring a fund to report certain information about its securities lending activity, including: (1) whether it is authorized to engage in securities lending transactions; (2) whether it lent its securities during the relevant period; (3) certain information about its securities lending agent(s); (4) certain information about any cash collateral manager (who is not also the fund's securities lending agent); (5) types of payments made to securities lending agents or cash collateral managers; (6) the monthly average of the value of the portfolio securities on loan during the relevant period; and (7) net income from securities lending activity).

582 *See* Item 3 of current Form N-1A; Items 3 and 8A of proposed Form N-1A; and Item 21(a) of Form N-1A. Money market funds are not required to provide annual portfolio turnover rates because many of their investments would already be excluded from the portfolio turnover rate calculation (which excludes securities whose maturities or expiration dates at the time of acquisition were one year or less). *See, e.g.*, Instruction 4(d) to Item 13 of Form N-1A (providing calculation instructions for portfolio turnover rates); *see also* MDFP Adopting Release, *supra* footnote 180, at n.3.

583 *See, e.g.*, Transaction Costs Concept Release, *supra* footnote 578, at paragraph accompanying

While we require funds to provide some information related to their securities lending costs and transaction costs, we understand that there could be benefits in providing investors a more complete or focused disclosure in one location regarding performance expenses. Among other benefits, this could include more transparent cost information that would allow investors to better compare funds. At the same time, there are complexities associated with requiring funds to disclose this information in their prospectus fee tables and in the proposed summary fee table. For instance, what is the best way to include the information in a manner that reflects the corresponding income (or loss) to the fund from the particular activity? Moreover, there are some challenges associated with measuring certain performance expenses, such as transaction costs, including the potential for inconsistent or inaccurate measurements that may confuse or mislead investors.[584] While we are not, at this time, proposing to modify fund prospectus disclosure to address these performance expenses, we are soliciting input on whether and how to include these performance expenses in the fund's prospectus. We note, in particular, our modifications of the shareholder report expense presentation that would take a new approach to the presentation of fees and expenses designed to reflect both the direct, fixed fees as well as the material performance expenses by requiring disclosure of the fund's net performance together with qualitative disclosure on the material expenses to performance.[585]

---

n.4.

584 *See supra* footnote 157 (discussing commenters' views on the challenges associated with transaction cost disclosure in certain jurisdictions).

585 *See supra* Section II.B.2.b.

We seek comment on the proposed summary fee table and on the scope of costs and performance expenses it would reflect, and specifically on the following issues:

214. Is it helpful to investors to require simplified, "bottom line" disclosure of the ongoing annual fees they will pay with their fund investment in the fee summary, and more-detailed disclosure about the components of the ongoing annual fees in the full fee table? Is it investor-friendly to provide for one total figure for ongoing annual fees and not permit a fund to include subcategories of such expenses in the fee summary? Should we also consolidate any or all of the transaction fees reported in the proposed fee summary? If so, how should Form N-1A instruct funds to consolidate this information?

215. Is it appropriate, as proposed, that the summary fee table show the fund's transaction fees, maximum account fee, and ongoing annual fees? Are there any other general types of fees and charges that the summary fee table should include? If so, which ones?

216. Is it appropriate not to require in the proposed summary or full fee table or example disclosure of brokerage commissions and other fees to financial intermediaries? Do commenters agree with our approach not to require such fees because financial intermediaries that distribute the fund typically determine such fees, and the amount may vary among financial intermediaries and distribution channels? Are there reasons such fees should be disclosed?

217. Some investors commenting on the Fund Investor Experience RFC expressed interest in a single, "all-in" presentation of investment costs (or in personalized fee disclosure more generally) that would reflect both fund and intermediary costs.[586] Other commenters

---

[586] *See, e.g.*, Waranowski Comment Letter: Wilhelm Comment Letter; Fowler Comment Letter;

indicated that preparing combined or personalized expense information could present some challenges, including the potential need for coordination and information-sharing between funds and intermediaries.[587] Should funds provide more comprehensive fee and expense presentations that account for both fund and intermediary costs? If so, how? For example, are there ways we could better integrate information an investor receives about fund costs in fund prospectuses and information an investor receives about intermediary costs in a Form CRS relationship summary?[588] If so, how? Should any integrated presentation of costs provide illustrative, standardized information about fund and intermediary costs, or should it provide investor-specific information? As another example, if a fund is only or primarily offered through one or more known wrap fee programs, should fund disclosure materials recognize the wrap fee program costs?[589] Would this approach present challenges to funds or intermediaries? If so, what are those challenges, and how could we address them? If we modify fee and expense presentations to account for both fund and intermediary costs, should we also require performance information that recognizes both sets of costs? Would the proposed presentation of fees in terms of dollar amounts, in addition to the currently required

---

Balke Comment Letter; Hague Comment Letter; Woods Comment Letter; Lee Comment Letter. Some commenters did not want to receive more personalized information, including personalized fee information, with a few of these commenters expressing particular concern about sharing personal information. *See, e.g.*, Grano Comment Letter; Wilhelm Comment Letter.

587 *See* ICI Comment Letter I.

588 *See, e.g.*, Item 3.A of Form CRS (requiring a relationship summary to include summary information about principal fees and costs, a description of other fees and costs, and specific references to more detailed information about fees and costs); Form CRS Adopting Release, *supra* footnote 27.

589 A wrap fee program generally involves an investment account where an investor is charged a single, bundled, or "wrap" fee for investment advice, brokerage services, administrative expenses, and other fees and expenses.